

ORDER BLOCKS EXPLAINED

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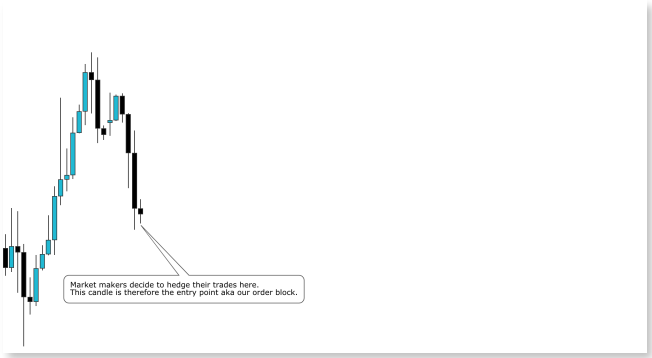
Order Blocks Explained

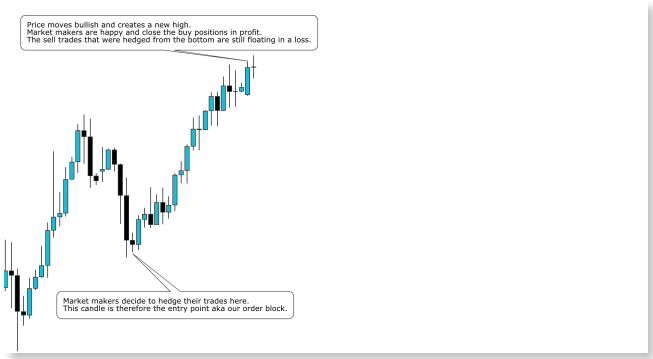
In order to completely understand the concept of the order block, it is essential to go over the 'Order Block' PDF before studying this one.

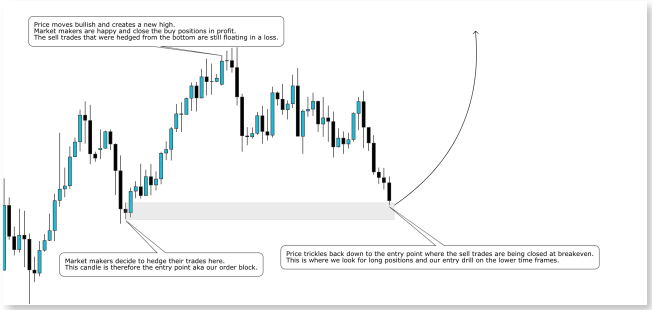
Essentially, an order block is the fingerprint that market makers and institutions leave behind on the charts that informs us of their activity and intent which we can capitalise on. Unlike retail traders, the capital available to market makers and institutions is enough to move the market and affect price. For this reason, there are differences in the ways that market makers and retail traders go about trading in the financial markets.

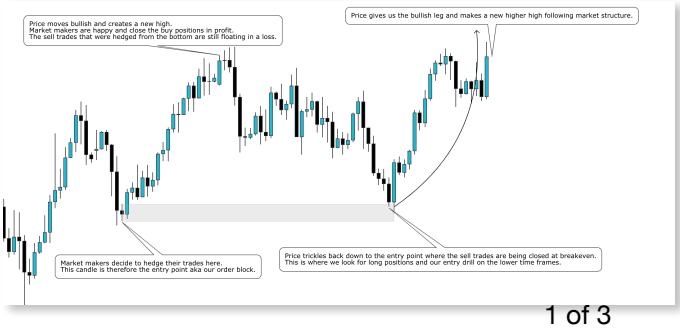
The first difference to understand is that market makers and institutions cannot simply place a buy or a sell trade. Due to the high amounts of volume behind each trade they place (millions of lots), a single buy or sell from institutions would crash the market. For this reason, they have to hedge each position. In other words, each time they place a buy, they have to place a sell at the same price, and vice versa. For example, if a buy is placed at 1.34610, and price moves up 100 pips, the buy trade will be 100 pips in profit, whereas the sell trade from the same price will be 230 pips in loss. Essentially there is an equal floating profit and loss.

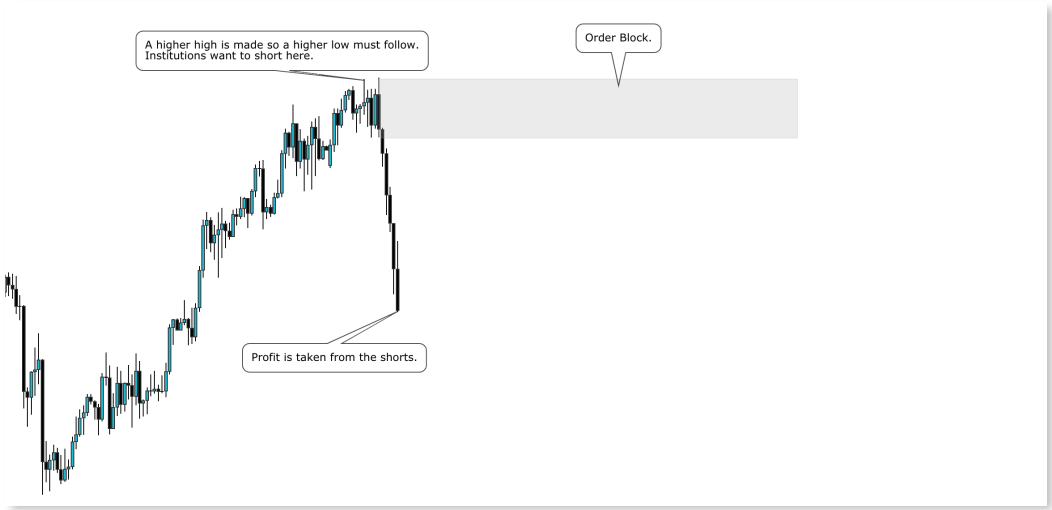
The second difference between retail traders and market makers is that market makers and institutions do not trade with a stop loss, therefore, the floating loss in the sell trade from the example above won't close itself. Therefore, once the market is at a desirable high, market makers will close the buy positions in profit, let the price trickle back to their entry point, and close the sell trade at breakeven.

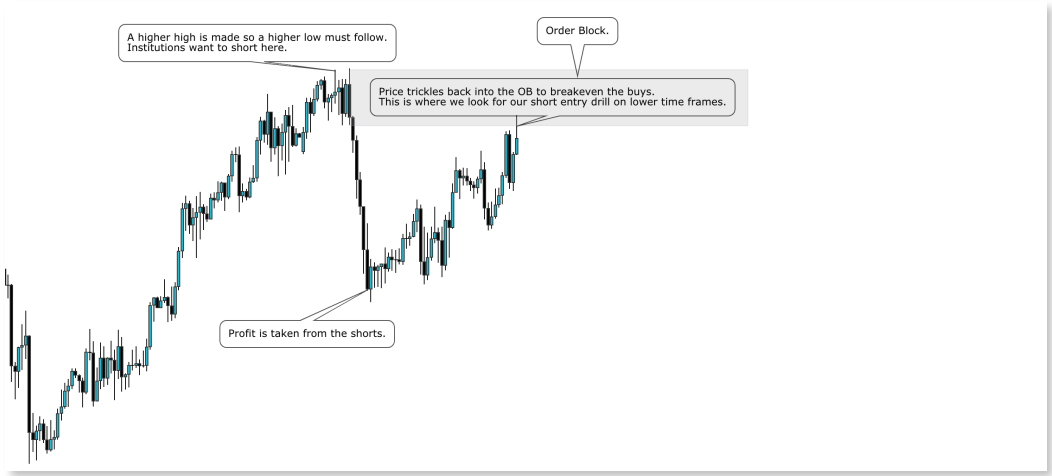


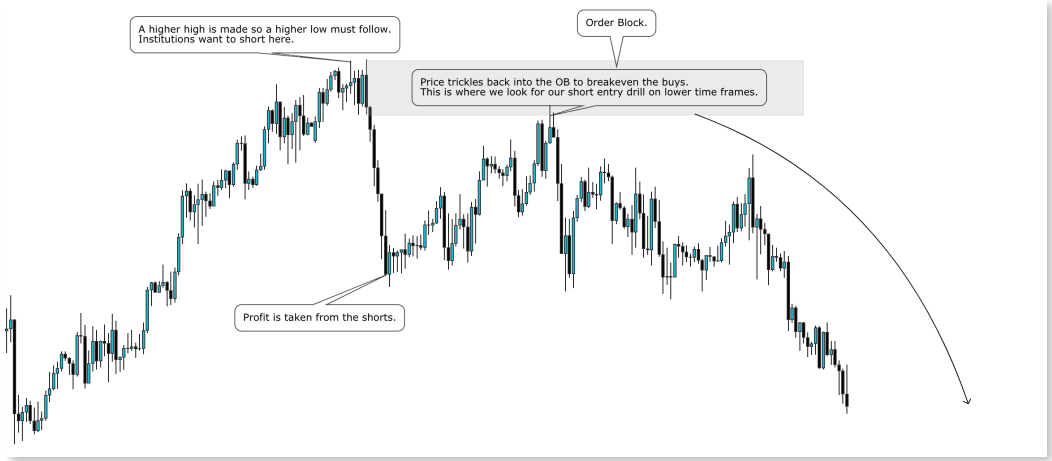







A higher high is made so a higher low must follow.
Institutions want to short here.
Order Block.
Profit is taken from the shorts.


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This is where we look for our short entry drill on lower time frames.
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Bearish OB
Bearish intent


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Price trickles back to the OB.
We hunt for short entry drills.
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